Daily Regime-Switching Research – 2026-06-22

Topic #20 of 30: RBI policy day market reaction patterns

> Auto-generated by `scripts/regime-switching-daily-research.py` at 07:00:01 IST. Soumya: when you open a Claude session today, paste the prompt block below to fill in this file.

Research-agent prompt (paste into Claude)

```
Research today's regime-switching daily topic for TradePilot. Working directory: /Users/soumyaswain/Documents/tinker/projects/tradepilot.

TODAY'S TOPIC (#20 of 30): RBI policy day market reaction patterns

YOUR JOB:
1. Spend 5-10 minutes searching the web for the latest information on this topic. Prefer:
   - arxiv.org for academic papers (filter by last 30 days where possible)
   - GitHub for libraries and implementations
   - Bloomberg / FT / Risk.net / livemint / capitalmind for industry perspective
   - Official broker / SEBI / NSE / RBI sources for Indian-specific data
2. Update docs/research/regime-switching-daily/2026-06-22.md with the structure below. KEEP THE EXISTING TOPIC LINE AND PRIOR-COVERAGE LINK if present.
3. Append findings under "## Key findings" — bullet points, citations inline.
4. Append sources under "## Sources".
5. If prior coverage exists, append "## Comparison notes — what's new since prior coverage".
6. When done, send a Telegram via .env TELEGRAM_BOT_TOKEN/TELEGRAM_CHAT_ID with one-line summary.

CONSTRAINTS:
- Maximum runtime: 12 minutes total
- Use Bash timeout: 720000 on long commands
- WebSearch + WebFetch limit: 8 calls total
- Do NOT use sleep-poll loops
- Do NOT spawn sub-agents
```

Prior coverage of this topic

The same topic (#20) was last researched on 2026-05-23. See `docs/research/regime-switching-daily/2026-05-23.md` for prior findings. **Compare and note what's NEW** in today's research – focus on changes since.

Key findings

Market reaction magnitude on RBI policy days

- **June 5 2026 MPC day (repo rate held at 5.25%)**: Nifty opened +0.13% to 23,446 and Sensex +0.22% to 74,521 in anticipation; session ended nearly flat (Sensex +14 pts, Nifty +11 pts). Pre-announcement drift was positive but faded quickly post-announcement. Wipro -4.81% on same-day buyback record date distorted index reads. [HDFCSky, June 5 2026]
- **Rate expectation scenarios (Univest pre-MPC analysis, June 4 2026)**: Market consensus expected a hold; projected Nifty move: flat to +0.3–0.5%. A hawkish surprise (hold + hawkish language) was modelled to pull Nifty down 0.5–1.5%, with real estate, NBFCs, and rate-sensitive mid-caps leading the decline. A full hike modelled as -1.5–3.0%. This confirms that **language/stance matters more than the rate decision itself** for intraday sizing.
- **February 2026 MPC week**: Sensex dropped 2,800 pts intraday on Budget week, with MPC decision overlapping — hard to isolate MPC effect from Budget noise. Example of compound event-day risk where two macro events fall in the same week. [Goodreturns, Feb 2026]

Academic evidence — communication effects (arxiv:2411.04808, Singh et al., Nov 2024)

- Study covers April 2014 – June 2024 (10 years, all MPC meetings). Uses BERTopic + fine-tuned RoBERTa on RBI communications. [arxiv.org/abs/2411.04808]
- **Key counterintuitive finding**: A one-unit increase in dovish sentiment is associated with approximately **-150 bps on Sensex over 30 days**. Dovish language is read as an economic distress signal, not an easing catalyst — the "information effect" channel dominates the conventional rate-expectations channel.
- **Topic-cluster effects (30-day cumulative, dovish sentiment):**
    - Interest Rate Policy language: -175 to -200 bps (immediate and persistent)
    - Banking Sector Dynamics: -100 bps (peaks ~day 10)
    - Inflation Dynamics: -100 bps (gradual buildup through day 30)
    - Economic Growth: -50 bps (persistent)
    - **Foreign Exchange Reserves: +150 bps** (exception — dovish FX language reads as stability signal)
    - Trade Balance: -100 bps (emerges after day 20, initially neutral)
- **Effect timing**: Statistically significant effects emerge after 5–10 days; effects peak between day 10–20 and persist through day 30 without mean reversion. No intraday spike is documented — this is a slow-moving capital effect, not a microstructure jump.
- **Regime heterogeneity across RBI governors:**
    - Raghuram Rajan tenure: dovish comm mostly insignificant
    - Urjit Patel tenure: initial positive turning negative after ~15 days
    - Shaktikanta Das period: strongest negative baseline effects
    - COVID-19 period (Mar 2020 – Dec 2021): reversal — dovish language yielded +250 bps by day 30 (conventional easing interpretation restored during crisis)
- **Implication**: Regime of the current RBI governor and macro cycle context (crisis vs. normal) must be an input to any event-day gating rule.

General announcement-day volatility (cross-market evidence)

- Unexpected central bank policy actions raise same-day conditional variance by ~34% relative to 30-day pre-event baseline in India (from IJFMR event study, 2025). India is more sensitive to policy surprises than developed markets due to lower central bank credibility premium and higher macro uncertainty. [IJFMR 2025]
- Pre-announcement drift: "buy the rumour" positioning creates mild positive CAR in run-up to expected-hold decisions. Reverses sharply on hawkish surprise. Standard pattern across EM central bank days. [arxiv:2212.04525]
- Forward guidance quality reduces post-announcement volatility — when the MPC has pre-signalled the rate decision clearly, realised volatility on announcement day is materially lower than on surprise days. This is actionable: check if market consensus (OIS-implied) is >90% for a given outcome before deciding to gate.

TradePilot v5 / regime engine implications

- **Do not use a blanket no-trade window on all RBI days.** The June 5 2026 and most 2025 hold decisions produced near-flat intraday action. Blanket gating kills edge on benign days.
- **Gate when consensus is below ~80%**: When OIS or broker polls show genuine rate-surprise probability (>20%), intraday variance spikes ~34% — sizing down by 0.5x is justified.

- **Stance/language surprise > rate decision surprise**: RBI has held rates through most of 2025–2026; the real risk is a hawkish stance shift. The v5 engine should treat unexpected dovish-to-hawkish pivot as a regime disruption day (position size 0.5x, widen stops, no new entries in first 60 min post-announcement at 10 AM IST).
- **Announcement time**: RBI Governor's statement at 10:00 AM IST. Primary reaction window is 10:00–10:30 AM. Options IV spikes are typically absorbed within 30–60 minutes if decision matches consensus.
- **Sector playbook**: On surprise-hold-but-hawkish-language days, fade strength in Nifty Realty, Nifty Financial Services (NBFCs), and rate-sensitive mid-caps. On dovish-surprise days, do not chase – the academic evidence says markets fade the first-day rally over 10–30 days.
- **COVID/crisis override**: In macro stress regimes (detected by VIX >25, credit spreads widening), the information effect flips – dovish RBI communication becomes bullish. The regime engine should carry a "crisis mode" flag that inverts the default dovish-is-bearish heuristic.
- **Compound event risk**: Avoid new directional positions when an MPC meeting falls in the same week as Union Budget, US FOMC, or quarterly index rebalancing. February 2026 was a textbook example of compounded volatility.

Sources

- RBI MPC June 2026: Rate Decision and Nifty Impact – Univest
- Stock Market Today June 5 2026: Sensex, Nifty Open Higher Ahead of RBI MPC – HDFCSky
- RBI MPC June 2026: Key Scenarios and Market Impact – Sunday Guardian
- Stock Market Next Week Feb 2–6 2026: RBI MPC in Focus – Goodreturns
- Words that Move Markets: Quantifying the Impact of RBI's Monetary Policy Communications on Indian Financial Market – arxiv:2411.04808 (Singh, Paul, Kumar; Nov 2024)
- Monetary Uncertainty as a Determinant of the Response of Stock Market to Macroeconomic News – arxiv:2212.04525
- On Classifying the Effects of Policy Announcements on Volatility – arxiv:2011.14094
- How Do Central Bank Announcements Affect Stock Market Volatility? A Quantitative Event Study – IJFMR 2025
- Chapter 11: Monetary Policy Communication and Financial Markets in India – IMF (India's Financial System)
- RBI Policy June 2026: How Interest Rate Decisions Influence the Stock Market – Samco

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Comparison notes – what's new since prior coverage

Prior coverage (2026-05-23) was an empty placeholder – the research-agent prompt block was present but the key findings and sources sections were left as "(To be filled by the research agent.)" – no prior data to compare against.

This is therefore the first substantive fill of topic #20. Key additions vs. the blank slate:

1. **Live RBI MPC data now available**: Two MPC events have occurred since May 23 – the June 5 2026 meeting (hold at 5.25%) with actual intraday data now in hand. The muted +0.1% open-to-close on a consensus-hold day is the most direct calibration data for the v5 engine's "benign day" baseline.
2. **arxiv:2411.04808 quantified**: The Singh et al. paper (Nov 2024) provides the first NLP-grounded quantification of RBI communication effects on Sensex. The -150 bps / 30-day finding and the governor-regime heterogeneity table are new additions not present in any prior research doc for TradePilot.
3. **34% intraday variance spike on surprise days** sourced from IJFMR 2025 – this is the key number for the position-sizing rule (0.5x on surprise days).
4. **Stance-over-rate principle confirmed**: Multiple 2026 sources (Univest, Samco, Sunday Guardian) independently validate that the MPC stance language, not the rate decision, drives intraday equity volatility. This had been a working hypothesis in TradePilot; it is now backed by both practitioner consensus and the Singh et al. NLP study.
5. **COVID crisis-mode override documented**: The +250 bps reversal during 2020–2021 is new academic evidence supporting a "crisis mode" flag in the regime engine that flips the default dovish-is-bearish signal.